

US Communications Infrastructure

US Communications Infrastructure: Everybody relax - towers aren't going anywhere, even if Elon gets creative



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SpaceX reported 2Q26 earnings Tuesday night, laying out an ambitious vision for Starlink Mobile as a major mobile connectivity platform. The company is looking to use a mix of satellites and low-CapEx “femtocell” / terrestrial infrastructure...the TowerCo's are down aggressively today, which we consider a big overreaction, given the entrenched networks that underpin AMT/CCI/SBAC's core economics. Even if you do deploy femtocells...you still need towers.

As our very smart Telco team (Laurent Yoon) [wrote this morning](#): “The SpaceX strategy appears to consist of four components: (1) satellite-based D2D coverage; (2) recently acquired 65MHz of spectrum from EchoStar; (3) Some form of terrestrial radio infrastructure; and (4) a distributed small cell architecture leveraging installed Starlink CPEs. While each component is insufficient, the collective strategy is... interesting.”

SpaceX (covered by Doug Harned) has a creative vision for Starlink Mobile, but we believe the impact on towers (AMT, CCI, SBAC) will be limited. It's already been well established that satellite-based D2D coverage doesn't work inside, where 80%+ of mobile demand is located. 65MHz of EchoStar spectrum is necessary but not sufficient to become a true nationwide mobile network...and will probably need to be deployed using some form of terrestrial radio architecture (likely on towers).

But the big drama today: turning millions of Starlink dishes into quasi-base stations that look a lot like “femtocells” per SpaceX's COO. Femtocells have been around since the early 2000s and were actually wildly unsuccessful for carriers...the coverage radius is about 60 feet and each cell can only support ~6 users. Now, SpaceX could actually be trying to reference small cells more broadly - maybe a metrocell or a picocell would be a better comparison. Those would bump your coverage radius to maybe 1km. For reference, the average coverage radius of a tower for today's networks is ~5km, but for a coverage build (what SpaceX would need to offer nationwide service in lieu of an MVNO), the radius can reach up to 40km!

If SpaceX needs to deploy nationwide terrestrial coverage to offer a credible mobile footprint...they are absolutely not using small cells as their primary deployment technology. They would need in a BEST case scenario 5x more small cells than towers, but perhaps up to 40x? Sure, the hardware is cheaper and they would save on bandwidth and rent costs, but the installation and deployment are way less efficient - not to mention all of the extremely complex RF engineering that would need to happen, likely issues with the FCC for a new tech, local permitting issues (multiplied!), incumbent pushback, major issues in dense urban and urban environments, line of sight limitations...the list goes on.

What we think they're really saying: SpaceX would love to have an MVNO agreement with a US carrier and [we believe, at some point, they will](#). In that world, could SpaceX have a broad small cell-type footprint to offload capacity? Sure, it would make sense to try to offload capacity and lower MVNO (or roaming, if that's the agreement flavor) costs. Sound familiar? Yes, it's straight out of the cable playbook. **Does that kill towers? Absolutely not.**

Satellite dishes need a clear line-of-sight, which is suboptimal for non-rural markets. The concept of a single unit acting as both satellite backhaul and RF access point means limited satellite capacity is being shared among many users, which may work for low-density rural coverage but is much harder to scale as a primary network in higher-density markets. Traditional cell towers are engineered around fiber backhaul, sectorization, and interference management; recreating a nationwide, carrier-grade network using millions of ad hoc micro-cells anchored on satellite links requires years of tuning and substantial software and RF optimization. Despite SpaceX's claim that satellites are more "quiescent" than terrestrial infrastructure during disasters, rain fade, atmospheric conditions, and latency versus fiber backhaul still matter for urban, enterprise, and uplink-heavy use cases.

Even of SpaceX's approach proves more capital-efficient than the legacy process, the incumbents are not starting from zero. AMT, CCI, and SBAC already own long-lived macro assets and rights-of-way; the incremental economics for them are driven by adding tenants and upgrading radios. SpaceX, by contrast, must fund a new, distributed network architecture and simultaneously acquire mobile customers at scale, build a brand in wireless, and overcome the churn frictions and procurement lock-in of the Big 3 carriers. Lastly, overlaid with the broader corporate context—SpaceX is simultaneously scaling Starship, deploying V3 broadband satellites, building multi-GW compute centers, and advancing Grok and Starmind—and there is real execution and prioritization risk.

Starlink Mobile may fill a meaningful gap in the market (i.e. remote, rural, maritime, disaster scenarios), but we believe it is a long way from replacing terrestrial carrier networks. Towers remain central in dense urban markets where fiber-backhauled macro and small-cell overlays are the most reliable way to deliver high-capacity, low-latency coverage. SpaceX's mobile strategy may take years to scale and will likely focus on peripheral geographies first, leaving the core economics of AMT/CCI/SBAC's portfolios largely intact in the medium term.

EXHIBIT 1: Femtocells are small mobile base stations that help extend coverage and offload network traffic when networks become congested



Source: Telit

EXHIBIT 2: A Starlink dish today (no femtocell)



Source: The Verge

INVESTMENT IMPLICATIONS

We rate American Tower and Crown Castle Outperform; we rate SBA Communications Market-Perform.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	4 Aug 2026		TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target		Cur	2025A	2026E	2027E	2025A	2026E	2027E
AMT (American Tower)	O	USD	175.25	214.00	(42.7)%	USD	5.40	7.01	6.93	32.5	25.0	25.3
CCI (Crown Castle)	O	USD	77.66	96.00	(52.9)%	USD	1.02	2.01	3.22	76.4	38.7	24.1
SBAC (SBA Comm)	M	USD	187.90	219.00	(42.0)%	USD	11.76	8.81	9.57	16.0	21.3	19.6
SPX			7,736.52									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We value AMT on a forward Price-to-Adjusted Funds From Operations (AFFO) per share multiple. Our \$214 price target is based on 18x our NTM+1 AFFO per share of \$11.90.

Crown Castle Inc

We value CCI on a Price to Adjusted Funds From Operations (AFFO) per share multiple. Our \$96 price target is based on 18x our NTM+1 AFFO per share of \$5.34.

SBA Communications Corporation

We value SBAC on a Price to Adjusted Funds From Operations (AFFO) per share multiple. Our \$219 price target is based on 16.5x NTM+1 AFFO per share of \$13.45.

RISKS**American Tower Corporation**

We rate AMT shares Outperform. Downside risks include 1) Adverse changes to creditworthiness or financial strength of AMT's concentrated customer set, 2) Increase in treasury yields due to inflationary or fiscal pressures, and 3) D2D solutions having meaningful technological improvement and not requiring terrestrial complements.

Crown Castle Inc

The main downside risks to our price target/Outperform rating on CCI are 1) Below-market pricing on upcoming carrier renewals, 2) Adverse changes to creditworthiness or financial strength of CCI's concentrated customer set, 3) Increase in treasury yields due to inflationary or fiscal pressures

SBA Communications Corporation

We rate SBAC shares Market-Perform. Upside risks to our price target include 1) Above-expectation growth driven through SBAC's exposure to emerging markets. Downside risks include 2) Adverse changes to creditworthiness or financial strength of SBAC's concentrated customer set, 3) Increase in treasury yields due to inflationary or fiscal pressures.

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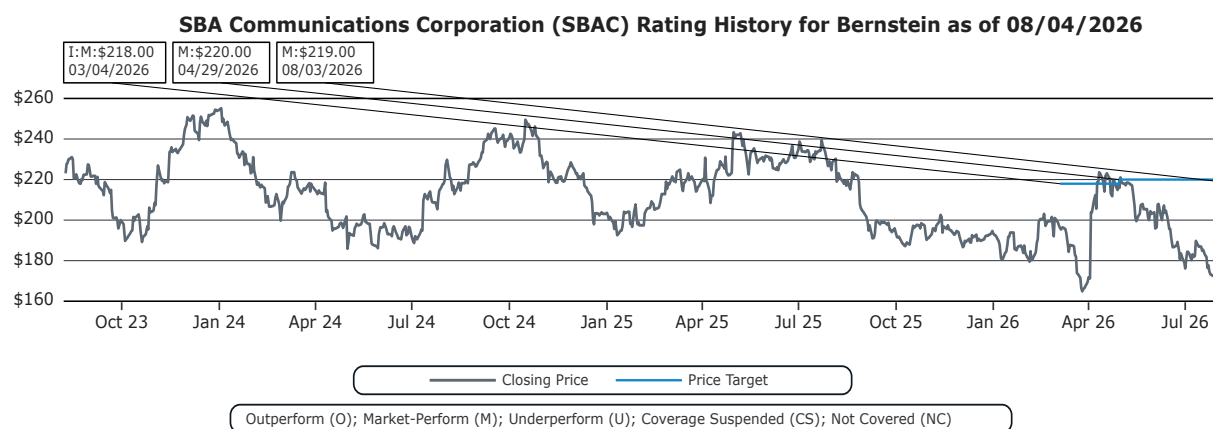
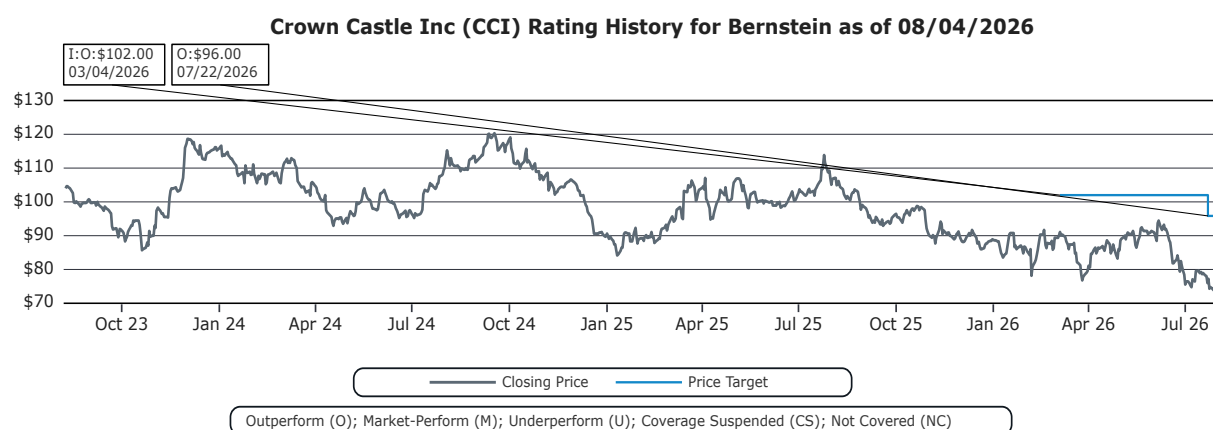
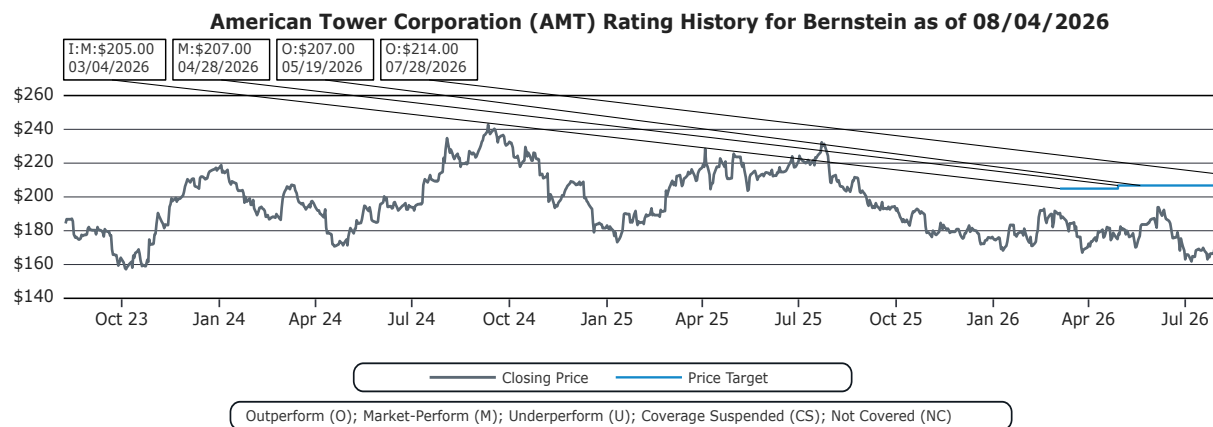
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